# *Pattern 6* CHANNELS

A ‘Channel’ is formed when the closing price of an asset starts to move in a fixed channel where the resistance and support that it is getting, are parallel lines. Here, the price of the asset is expected to stay within the range or the within the channels and it will oscillate between the support and resistance levels. We will wait in this case for the asset price to break out of the channels. We will long the asset if it breaks out on the positive side. We will short the asset if it breaks out on the negative side.

Channel, in many ways, is a flattened version of wedges and it works in the same manner. We will not act when the asset price is within the channel but we will enter the trade when we see any breakout. If heavy volumes are accompanying the breakout, this should make our case for the trade even stronger.